



House of Representatives

General Assembly

File No. 421

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House Bill No. 5469

House of Representatives, April 7, 2026

The Committee on Energy and Technology reported through REP. STEINBERG of the 136th Dist., Chairperson of the Committee on the part of the House, that the bill ought to pass.

AN ACT CONCERNING COLOCATED ELECTRIC SUPPLIERS AND LARGE ELECTRIC LOAD CUSTOMERS.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. Subsection (a) of section 16-1 of the 2026 supplement to the
2 general statutes is repealed and the following is substituted in lieu
3 thereof (*Effective July 1, 2026*):

4 (a) Terms used in this title and in chapters 244, 244a, 244b, 245, 245a
5 and 245b shall be construed as follows, unless another meaning is
6 expressed or is clearly apparent from the language or context:

7 (1) "Authority" means the Public Utilities Regulatory Authority and
8 "department" means the Department of Energy and Environmental
9 Protection;

10 (2) "Utility commissioner" means a utility commissioner of the Public
11 Utilities Regulatory Authority;

12 (3) "Public service company" includes electric distribution, gas,

13 telephone, pipeline, sewage, water and community antenna television
14 companies and holders of a certificate of cable franchise authority,
15 owning, leasing, maintaining, operating, managing or controlling plants
16 or parts of plants or equipment, but shall not include towns, cities,
17 boroughs, any municipal corporation or department thereof, whether
18 separately incorporated or not, a private power producer, as defined in
19 section 16-243b, or an exempt wholesale generator, as defined in 15 USC
20 79z-5a;

21 (4) "Plant" includes all real estate, buildings, tracks, pipes, mains,
22 poles, wires and other fixed or stationary construction and equipment,
23 wherever located, used in the conduct of the business of the company;

24 (5) "Gas company" includes every person owning, leasing,
25 maintaining, operating, managing or controlling mains, pipes or other
26 fixtures, in public highways or streets, for the transmission or
27 distribution of gas for sale for heat or power within this state, or engaged
28 in the manufacture of gas to be so transmitted or distributed for such
29 purpose, but shall not include (A) a person manufacturing gas through
30 the use of a biomass gasification plant provided such person does not
31 own, lease, maintain, operate, manage or control mains, pipes or other
32 fixtures in public highways or streets, (B) a municipal gas utility
33 established under chapter 101 or any other gas utility owned, leased,
34 maintained, operated, managed or controlled by any unit of local
35 government under any general statute or any public or special act, or
36 (C) an entity approved to submeter pursuant to section 16-19ff;

37 (6) "Water company" includes every person owning, leasing,
38 maintaining, operating, managing or controlling any pond, lake,
39 reservoir, stream, well or distributing plant or system employed for the
40 purpose of supplying water to fifty or more consumers. A water
41 company does not include homeowners, condominium associations
42 providing water only to their members, homeowners associations
43 providing water to customers at least eighty per cent of whom are
44 members of such associations, a municipal waterworks system
45 established under chapter 102, a district, metropolitan district,

46 municipal district or special services district established under chapter
47 105, chapter 105a or any other general statute or any public or special
48 act which is authorized to supply water, or any other waterworks
49 system owned, leased, maintained, operated, managed or controlled by
50 any unit of local government under any general statute or any public or
51 special act;

52 (7) "Consumer" means any private dwelling, boardinghouse,
53 apartment, store, office building, institution, mechanical or
54 manufacturing establishment or other place of business or industry to
55 which water is supplied by a water company;

56 (8) "Sewage company" includes every person owning, leasing,
57 maintaining, operating, managing or controlling, for general use in any
58 town, city or borough, or portion thereof, in this state, sewage disposal
59 facilities which discharge treated effluent into any waterway of this
60 state;

61 (9) "Pipeline company" includes every person owning, leasing,
62 maintaining, operating, managing or controlling mains, pipes or other
63 fixtures through, over, across or under any public land, water,
64 parkways, highways, parks or public grounds for the transportation,
65 transmission or distribution of petroleum products for hire within this
66 state;

67 (10) "Community antenna television company" includes every person
68 owning, leasing, maintaining, operating, managing or controlling a
69 community antenna television system, in, under or over any public
70 street or highway, for the purpose of providing community antenna
71 television service for hire and shall include any municipality which
72 owns or operates one or more plants for the manufacture or distribution
73 of electricity pursuant to section 7-213 or any special act and seeks to
74 obtain or obtains a certificate of public convenience and necessity to
75 construct or operate a community antenna television system pursuant
76 to section 16-331 or a certificate of cable franchise authority pursuant to
77 section 16-331q. "Community antenna television company" does not
78 include a certified competitive video service provider;

79 (11) "Community antenna television service" means (A) the one-way
80 transmission to subscribers of video programming or information that
81 a community antenna television company makes available to all
82 subscribers generally, and subscriber interaction, if any, which is
83 required for the selection of such video programming or information,
84 and (B) noncable communications service. "Community antenna
85 television service" does not include video service provided by a certified
86 competitive video service provider;

87 (12) "Community antenna television system" means a facility,
88 consisting of a set of closed transmission paths and associated signal
89 generation, reception and control equipment that is designed to provide
90 community antenna television service which includes video
91 programming and which is provided in, under or over any public street
92 or highway, for hire, to multiple subscribers within a franchise, but such
93 term does not include (A) a facility that serves only to retransmit the
94 television signals of one or more television broadcast stations; (B) a
95 facility that serves only subscribers in one or more multiple unit
96 dwellings under common ownership, control or management, unless
97 such facility is located in, under or over a public street or highway; (C)
98 a facility of a common carrier which is subject, in whole or in part, to the
99 provisions of Subchapter II of Chapter 5 of the Communications Act of
100 1934, 47 USC 201 et seq., as amended, except that such facility shall be
101 considered a community antenna television system and the carrier shall
102 be considered a public service company to the extent such facility is used
103 in the transmission of video programming directly to subscribers; or (D)
104 a facility of an electric distribution company which is used solely for
105 operating its electric distribution company systems. "Community
106 antenna television system" does not include a facility used by a certified
107 competitive video service provider to provide video service;

108 (13) "Video programming" means programming provided by, or
109 generally considered comparable to programming provided by, a
110 television broadcast station;

111 (14) "Noncable communications service" means any

112 telecommunications service, as defined in section 16-247a, and which is
113 not included in the definition of "cable service" in the Communications
114 Act of 1934, 47 USC 522, as amended. Nothing in this definition shall be
115 construed to affect service which is both authorized and preempted
116 pursuant to federal law;

117 (15) "Cogeneration technology" means the use for the generation of
118 electricity of exhaust steam, waste steam, heat or resultant energy from
119 an industrial, commercial or manufacturing plant or process, or the use
120 of exhaust steam, waste steam or heat from a thermal power plant for
121 an industrial, commercial or manufacturing plant or process, but shall
122 not include steam or heat developed solely for electrical power
123 generation;

124 (16) "Renewable fuel resources" means energy sources described in
125 subdivisions (20) and (21) of this subsection;

126 (17) "Telephone company" means a telecommunications company
127 that provides one or more noncompetitive or emerging competitive
128 services, as defined in section 16-247a;

129 (18) "Domestic telephone company" includes any telephone company
130 which has been chartered by or organized or constituted within or
131 under the laws of this state;

132 (19) "Telecommunications company" means a person that provides
133 telecommunications service, as defined in section 16-247a, within the
134 state, but shall not mean a person that provides only (A) private
135 telecommunications service, as defined in section 16-247a, (B) the one-
136 way transmission of video programming or other programming
137 services to subscribers, (C) subscriber interaction, if any, which is
138 required for the selection of such video programming or other
139 programming services, (D) the two-way transmission of educational or
140 instructional programming to a public or private elementary or
141 secondary school, or a public or independent institution of higher
142 education, as required by the authority pursuant to a community
143 antenna television company franchise agreement, or provided pursuant

144 to a contract with such a school or institution which contract has been
145 filed with the authority, or (E) a combination of the services set forth in
146 subparagraphs (B) to (D), inclusive, of this subdivision;

147 (20) "Class I renewable energy source" means (A) electricity derived
148 from (i) solar power, (ii) wind power, (iii) a fuel cell, (iv) geothermal, (v)
149 anaerobic digestion or other biogas derived from biological sources, (vi)
150 thermal electric direct energy conversion from a certified Class I
151 renewable energy source, (vii) ocean thermal power, (viii) wave or tidal
152 power, (ix) low emission advanced renewable energy conversion
153 technologies, including, but not limited to, zero emission low grade heat
154 power generation systems based on organic oil free rankine, kalina or
155 other similar nonsteam cycles that use waste heat from an industrial or
156 commercial process that does not generate electricity, (x) (I) a run-of-
157 the-river hydropower facility that began operation after July 1, 2003, has
158 a generating capacity of not more than sixty megawatts, is not based on
159 a new dam or a dam identified by the Commissioner of Energy and
160 Environmental Protection as a candidate for removal, and meets
161 applicable state and federal requirements, including state dam safety
162 requirements and applicable site-specific standards for water quality
163 and fish passage, or (II) a run-of-the-river hydropower facility that
164 received a new license after January 1, 2018, under the Federal Energy
165 Regulatory Commission rules pursuant to 18 CFR 16, as amended from
166 time to time, is not based on a new dam or a dam identified by the
167 Commissioner of Energy and Environmental Protection as a candidate
168 for removal, and meets applicable state and federal requirements,
169 including state dam safety requirements and applicable site-specific
170 standards for water quality and fish passage, (xi) a biomass facility,
171 provided such facility has executed an agreement to provide energy to
172 an electric distribution company prior to October 1, 2025, that (I) uses
173 sustainable biomass fuel and has an average emission rate of equal to or
174 less than .075 pounds of nitrogen oxides per million BTU of heat input
175 for the previous calendar quarter, or (II) has a capacity of less than five
176 hundred kilowatts that began construction before July 1, 2003, may be
177 considered a Class I renewable energy source for the duration of such
178 agreement, or (xii) a nuclear power generating facility constructed on or

179 after October 1, 2023, or (B) any electrical generation, including
180 distributed generation, generated from a Class I renewable energy
181 source, provided, on and after January 1, 2014, any megawatt hours of
182 electricity from a renewable energy source described under this
183 subparagraph that are claimed or counted by a load-serving entity,
184 province or state toward compliance with renewable portfolio
185 standards or renewable energy policy goals in another province or state,
186 other than the state of Connecticut, shall not be eligible for compliance
187 with the renewable portfolio standards established pursuant to section
188 16-245a;

189 (21) "Class II renewable energy source" means electricity derived
190 from a trash-to-energy facility that has obtained a permit pursuant to
191 section 22a-208a and section 22a-174-33 of the regulations of
192 Connecticut state agencies;

193 (22) "Electric distribution services" means the owning, leasing,
194 maintaining, operating, managing or controlling of poles, wires,
195 conduits or other fixtures along public highways or streets for the
196 distribution of electricity, or electric distribution-related services;

197 (23) "Electric distribution company" or "distribution company" means
198 any person providing electric transmission or distribution services
199 within the state, but does not include: (A) A private power producer, as
200 defined in section 16-243b; (B) a municipal electric utility established
201 under chapter 101, other than a participating municipal electric utility;
202 (C) a municipal electric energy cooperative established under chapter
203 101a; (D) an electric cooperative established under chapter 597; (E) any
204 other electric utility owned, leased, maintained, operated, managed or
205 controlled by any unit of local government under any general statute or
206 special act; (F) an electric supplier; (G) an entity approved to submeter
207 pursuant to section 16-19ff; or (H) a municipality, state or federal
208 governmental entity authorized to distribute electricity across a public
209 highway or street pursuant to section 16-243aa;

210 (24) "Electric supplier" means any person, including an electric
211 aggregator or participating municipal electric utility that is licensed by

212 the Public Utilities Regulatory Authority in accordance with section 16-
213 245, as amended by this act, that provides electric generation services to
214 end use customers in the state using the transmission or distribution
215 facilities of an electric distribution company, regardless of whether or
216 not such person takes title to such generation services, but does not
217 include: (A) A municipal electric utility established under chapter 101,
218 other than a participating municipal electric utility; (B) a municipal
219 electric energy cooperative established under chapter 101a; (C) an
220 electric cooperative established under chapter 597; or (D) any other
221 electric utility owned, leased, maintained, operated, managed or
222 controlled by any unit of local government under any general statute or
223 special act;

224 (25) "Electric aggregator" means (A) a person, municipality or
225 regional water authority that gathers together electric customers for the
226 purpose of negotiating the purchase of electric generation services from
227 an electric supplier, or (B) the MIRA Dissolution Authority, if it gathers
228 together electric customers for the purpose of negotiating the purchase
229 of electric generation services from an electric supplier, provided such
230 person, municipality or authority is not engaged in the purchase or
231 resale of electric generation services, and provided further such
232 customers contract for electric generation services directly with an
233 electric supplier, and may include an electric cooperative established
234 pursuant to chapter 597;

235 (26) "Electric generation services" means electric energy, electric
236 capacity or generation-related services;

237 (27) "Electric transmission services" means electric transmission or
238 transmission-related services;

239 (28) "Generation entity or affiliate" means a corporate affiliate or a
240 separate division of an electric distribution company that provides
241 electric generation services;

242 (29) "Participating municipal electric utility" means a municipal
243 electric utility established under chapter 101 or any other electric utility

244 owned, leased, maintained, operated, managed or controlled by any
245 unit of local government under any general statute or any public or
246 special act, that is authorized by the authority in accordance with section
247 16-245c to provide electric generation services to end use customers
248 outside its service area, as defined in section 16-245c;

249 (30) "Person" means an individual, business, firm, corporation,
250 association, joint stock association, trust, partnership or limited liability
251 company;

252 (31) "Regional independent system operator" means the "ISO - New
253 England, Inc.", or its successor organization as approved by the Federal
254 Energy Regulatory Commission;

255 (32) "Certified telecommunications provider" means a person
256 certified by the authority to provide intrastate telecommunications
257 services, as defined in section 16-247a, pursuant to sections 16-247f to
258 16-247h, inclusive;

259 (33) "Gas registrant" means a person registered to sell natural gas
260 pursuant to section 16-258a;

261 (34) "Customer-side distributed resources" means (A) the generation
262 of electricity from a unit with a rating of not more than sixty-five
263 megawatts on the premises of a retail end user within the transmission
264 and distribution system including, but not limited to, fuel cells,
265 photovoltaic systems or small wind turbines, or (B) a reduction in the
266 demand for electricity on the premises of a retail end user in the
267 distribution system through methods of conservation and load
268 management, including, but not limited to, peak reduction systems and
269 demand response systems;

270 (35) "Federally mandated congestion charges" means any cost
271 approved by the Federal Energy Regulatory Commission as part of New
272 England Standard Market Design including, but not limited to,
273 locational marginal pricing, locational installed capacity payments, any
274 cost approved by the Public Utilities Regulatory Authority to reduce

275 federally mandated congestion charges in accordance with section 7-
276 233y, this section, sections 16-32f, 16-50i, 16-50k, 16-50x, 16-243i to 16-
277 243q, inclusive, 16-244c, 16-245m, 16-245n and 16-245z, section 21 of
278 public act 05-1 of the June special session, subsection (f) of section 16a-
279 3j and reliability must run contracts;

280 (36) "Combined heat and power system" means a system that
281 produces, from a single source, both electric power and thermal energy
282 used in any process that results in an aggregate reduction in electricity
283 use;

284 (37) "Grid-side distributed resources" means the generation of
285 electricity from a unit with a rating of not more than sixty-five
286 megawatts that is connected to the transmission or distribution system,
287 which units may include, but are not limited to, units used primarily to
288 generate electricity to meet peak demand;

289 (38) "Class III source" means the electricity output from combined
290 heat and power systems with an operating efficiency level of no less
291 than fifty per cent that are part of customer-side distributed resources
292 developed at commercial and industrial facilities in this state on or after
293 January 1, 2006, a waste heat recovery system installed on or after April
294 1, 2007, that produces electrical or thermal energy by capturing
295 preexisting waste heat or pressure from industrial or commercial
296 processes, or the electricity savings created in this state from
297 conservation and load management programs begun on or after January
298 1, 2006, provided on and after January 1, 2014, no such programs
299 supported by ratepayers, including programs overseen by the Energy
300 Conservation Management Board or third-party programs pursuant to
301 section 16-245m, shall be considered a Class III source, except that any
302 demand-side management project awarded a contract pursuant to
303 section 16-243m shall remain eligible as a Class III source for the term of
304 such contract;

305 (39) "Sustainable biomass fuel" means biomass that is cultivated and
306 harvested in a sustainable manner. "Sustainable biomass fuel" does not
307 mean construction and demolition waste, as defined in section 22a-208x,

308 finished biomass products from sawmills, paper mills or stud mills,
309 organic refuse fuel derived separately from municipal solid waste, or
310 biomass from old growth timber stands, except where (A) such biomass
311 is used in a biomass gasification plant that received funding prior to
312 May 1, 2006, from the Clean Energy Fund established pursuant to
313 section 16-245n, or (B) the energy derived from such biomass is subject
314 to a long-term power purchase contract pursuant to subdivision (2) of
315 subsection (j) of section 16-244c entered into prior to May 1, 2006;

316 (40) "Video service" means video programming services provided
317 through wireline facilities, a portion of which are located in the public
318 right-of-way, without regard to delivery technology, including Internet
319 protocol technology. "Video service" does not include any video
320 programming provided by a commercial mobile service provider, as
321 defined in 47 USC 332(d), any video programming provided as part of
322 community antenna television service in a franchise area as of October
323 1, 2007, any video programming provided as part of and via a service
324 that enables users to access content, information, electronic mail or other
325 services over the public Internet;

326 (41) "Certified competitive video service provider" means an entity
327 providing video service pursuant to a certificate of video franchise
328 authority issued by the authority in accordance with section 16-331e.
329 "Certified competitive video service provider" does not mean an entity
330 issued a certificate of public convenience and necessity in accordance
331 with section 16-331 or the affiliates, successors and assigns of such entity
332 or an entity issued a certificate of cable franchise authority in accordance
333 with section 16-331p or the affiliates, successors and assignees of such
334 entity;

335 (42) "Certificate of video franchise authority" means an authorization
336 issued by the Public Utilities Regulatory Authority conferring the right
337 to an entity or person to own, lease, maintain, operate, manage or
338 control facilities in, under or over any public highway to offer video
339 service to any subscribers in the state;

340 (43) "Certificate of cable franchise authority" means an authorization

341 issued by the Public Utilities Regulatory Authority pursuant to section
342 16-331q conferring the right to a community antenna television
343 company to own, lease, maintain, operate, manage or control a
344 community antenna television system in, under or over any public
345 highway to (A) offer community antenna television service in a
346 community antenna television company's designated franchise area, or
347 (B) use the public rights-of-way to offer video service in a designated
348 franchise area. The certificate of cable franchise authority shall be issued
349 as an alternative to a certificate of public convenience and necessity
350 pursuant to section 16-331 and shall only be available to a community
351 antenna television company under the terms specified in sections 16-
352 331q to 16-331aa, inclusive;

353 (44) "Thermal energy transportation company" means any person
354 authorized under any provision of the general statutes or special act to
355 furnish heat or air conditioning or both, by means of steam, heated or
356 chilled water or other medium, to lay and maintain mains, pipes or
357 other conduits, and to erect such other fixtures necessary or convenient
358 in and on the streets, highways and public grounds of any municipality
359 to carry steam, heated or chilled water or other medium from such plant
360 to the location to be served and to return the same;

361 (45) "The Connecticut Television Network" means the General
362 Assembly's state-wide twenty-four-hour state public affairs
363 programming service, separate and distinct from community access
364 channels;

365 (46) "Commissioner of Energy and Environmental Protection" means
366 the Commissioner of Energy and Environmental Protection appointed
367 pursuant to title 4, or the commissioner's designee;

368 (47) "Large-scale hydropower" means any hydropower facility that
369 (A) began operation on or after January 1, 2003, (B) is located in the New
370 England Power Pool Generation Information System geographic
371 eligibility area in accordance with Rule 2.3 of said system or an area
372 abutting the northern boundary of the New England Power Pool
373 Generation Information System geographic eligibility area that is not

374 interconnected with any other control area that is not a part of the New
375 England Power Pool Generation Information System geographic
376 eligibility area, (C) delivers power into such geographic eligibility area,
377 and (D) has a generating capacity of more than thirty megawatts;

378 (48) "Energy storage system" means any commercially available
379 technology that is capable of absorbing energy, storing it for a period of
380 time and thereafter dispatching the energy, and that is capable of either:
381 (A) Using mechanical, chemical or thermal processes to store electricity
382 that is generated at one time for use at a later time; (B) storing thermal
383 energy for direct use for heating or cooling at a later time in a manner
384 that avoids the need to use electricity at a later time; (C) using
385 mechanical, chemical or thermal processes to store electricity generated
386 from renewable energy sources for use at a later time; or (D) using
387 mechanical, chemical or thermal processes to capture or harness waste
388 electricity and to store such electricity generated from mechanical
389 processes for delivery at a later time;

390 (49) "Distributed energy resource" means any (A) customer-side
391 distributed resource or grid-side distributed resource that generates
392 electricity from a Class I renewable energy source or Class III source,
393 and (B) customer-side distributed resource that reduces demand for
394 electricity through conservation and load management, energy storage
395 system which is located on the customer-side of the meter or is
396 connected to the distribution system or microgrid; [and]

397 (50) "Grid-side system enhancement" means an investment in
398 distribution system infrastructure, technology and systems designed to
399 enable the deployment of distributed energy resources and allow for
400 grid management and system balancing, including, but not limited to,
401 energy storage systems, distribution system automation and controls,
402 intelligent field systems, advanced distribution system metering, and
403 communication and systems that enable two-way power flow;

404 (51) "Colocated electric supplier" means any person that provides, or
405 plans to provide, electric generation services to a large electric load
406 customer (A) through a physical connection behind such customer's

407 point of interconnection with the electric distribution or transmission
408 system, or (B) if both such supplier and such customer have no
409 connection to the electric distribution or transmission system; and

410 (52) "Large electric load customer" means any electric customer
411 whose peak demand is not less than fifty megawatts.

412 Sec. 2. Section 16-245 of the general statutes is repealed and the
413 following is substituted in lieu thereof (*Effective July 1, 2026*):

414 (a) No person shall execute any contract relating to the sale of electric
415 generation services to be rendered after January 1, 2000, to end use
416 customers or large electric load customers located in the state unless
417 such person has been issued a license by the authority in accordance
418 with the provisions of this section. No license shall be valid before July
419 1, 1999. The Public Utilities Regulatory Authority shall have the
420 authority to condition an electric supplier's or colocated electric
421 supplier's license and access to the systems and billing of the electric
422 distribution companies on terms the authority determines to be just and
423 reasonable, including, but not limited to, proof that the electric
424 supplier's or colocated electric supplier's products are not overpriced or
425 harmful to residential customers.

426 (b) On and after January 1, 2000, no person, no municipality and no
427 regional water authority shall sell or attempt to sell electric generation
428 services to end use customers located in the state using the transmission
429 or distribution facilities of an electric distribution company unless the
430 person has been issued a license by the Public Utilities Regulatory
431 Authority in accordance with the provisions of this section, provided an
432 electric distribution company is not required to be licensed pursuant to
433 this section to provide electric generation services pursuant to section
434 16-244c. On and after April 30, 2002, the MIRA Dissolution Authority
435 shall not sell or attempt to sell electric generation services to end use
436 customers located in the state using the transmission or distribution
437 facilities of an electric distribution company unless the authority has
438 been issued a license by the Public Utilities Regulatory Authority in
439 accordance with the provisions of this section. Not later than January 1,

1999, the authority shall, by regulations adopted pursuant to chapter 54, develop licensing procedures. The licensing process shall begin not later than April 1, 1999. On and after July 1, 2026, no person, municipality or regional water authority shall sell, attempt to sell or otherwise provide electric generation services to a large electric load customer in a colocated or behind-the-meter arrangement unless the person, municipality or regional water authority has been issued a license by the authority to serve as a colocated electric supplier in accordance with this section.

(c) To ensure the safety and reliability of the supply of electricity in this state, the Public Utilities Regulatory Authority shall not issue a license unless the applicant [can demonstrate] demonstrates to the satisfaction of the authority that the applicant has the technical, managerial and financial capability to provide electric generation services and provides and maintains a bond or other security in amount and form approved by the authority, to ensure its financial responsibility and its supply of electricity to end use customers in accordance with contracts, agreements or arrangements. [A] Any license granted pursuant to this section shall be subject to periodic review on a schedule to be established by the authority.

(d) An application for a license pursuant to this section shall be filed with the Public Utilities Regulatory Authority [,] and accompanied by a fee [pursuant to] as specified in subsection (e) of this section. The application shall contain such information as the authority may deem relevant, including, but not limited to: [, the following:] (1) The address of the applicant's headquarters and the articles of incorporation or certificate of organization, as filed with the state in which the applicant is incorporated or organized; (2) the address of the applicant's principal office in the state, if any, or the address of the applicant's agent for service in the state; (3) the applicant's toll-free telephone number for customer service; (4) information about the applicant's corporate structure, including names and financial statements, as appropriate, concerning corporate affiliates; (5) a disclosure of whether the applicant or any of the applicant's corporate affiliates or officers have been or are

474 currently under investigation for the violation of any consumer
475 protection law or regulation, [to which it is subject, either] whether in
476 this state or in another state; (6) a copy of [its] the applicant's standard
477 service contract; and (7) a scope of service plan which sets forth, among
478 other things, a description of the geographic area the applicant plans to
479 serve.

480 (e) The application fee shall include the costs to investigate and
481 administer the licensing procedure pursuant to this section and shall be
482 commensurate with the level of investigation necessary, as determined
483 by regulations adopted by the Public Utilities Regulatory Authority.

484 (f) Not more than thirty days after receiving an application, the Public
485 Utilities Regulatory Authority shall notify the applicant whether the
486 application is complete or whether the applicant must submit additional
487 information. The authority shall grant or deny a license application not
488 more than ninety days after receiving all information required of an
489 applicant. The authority shall hold a public hearing on an application
490 upon the request of any interested party.

491 (g) [As] Except as provided in subsection (h) of this section, as
492 conditions of continued licensure, in addition to the requirements of
493 subsection (c) of this section, a licensee shall: (1) [The licensee shall
494 comply] Comply with the National Labor Relations Act and regulations,
495 if applicable; (2) [the licensee shall] comply with the Connecticut Unfair
496 Trade Practices Act and applicable regulations; (3) operate each
497 [generating] generation facility [operated by or under long-term
498 contract to the licensee shall comply] in compliance with chapter 277a,
499 and any state environmental laws and regulations adopted by the
500 Commissioner of Energy and Environmental Protection, pursuant to
501 section 22a-174j, or ensure that any generation facility with which the
502 licensee enters into a long-term contract complies with said chapter and
503 any such laws and regulations; (4) [the licensee shall] comply with the
504 renewable portfolio standards established in or pursuant to section 16-
505 245a; (5) [the licensee shall] be a member of the New England Power
506 Pool or its successor or have a contractual relationship with one or more

507 entities who are members of the New England Power Pool or its
508 successor, and [the licensee shall] comply with the rules of the regional
509 independent system operator and standards and any other reliability
510 guidelines of the regional independent systems operator; (6) [the
511 licensee shall] agree to cooperate with the authority and other electric
512 suppliers in the event of an emergency condition that may jeopardize
513 the safety and reliability of electric service; (7) [the licensee shall] comply
514 with the code of conduct established pursuant to section 16-244h; (8) for
515 a license to a participating municipal electric utility, [the licensee shall]
516 provide open and nondiscriminatory access to its distribution facilities
517 to other licensed electric suppliers; (9) [the licensee or the entity or
518 entities with whom the licensee has a contractual relationship to
519 purchase power shall be in compliance] comply with all applicable
520 licensing requirements of the Federal Energy Regulatory Commission,
521 and ensure that any entity from whom the licensee purchases power
522 pursuant to a contract is in compliance with such requirements; (10) [the
523 licensee shall] offer and file with the authority a time-of-use [price] rate
524 option [to] for customers [. Such option shall include] that includes a
525 two-part price [that is designed to achieve an overall minimization of]
526 designed to minimize customer bills by encouraging the reduction of
527 electricity consumption during [the most energy intense hours of the
528 day. The licensee shall file its time-of-use rates with the Public Utilities
529 Regulatory Authority; (11) the licensee shall] hours of peak demand;
530 (11) acknowledge that it is subject to chapters 208, 212, 212a and 219, as
531 applicable, and [the licensee shall] pay all taxes it is subject to in [this]
532 the state; (12) [the licensee shall] make available to the authority for
533 posting on the authority's Internet web site and [shall] list on the
534 licensee's own Internet web site, on a monthly basis, the highest and
535 lowest electric generation service rate charged by the licensee as part of
536 a variable rate offer in each of the preceding twelve months to any
537 customer with a peak demand of less than fifty kilowatts, cumulated of
538 all such customer's meters, during a twelve-month period; and (13)
539 provide, in any contract between [a] the licensee and a residential
540 customer eligible for standard service entered into on and after July 1,
541 2014, [shall provide] for the same electric generation service rate that

542 may not be exceeded for at least the first three billing cycles of the
543 contract, provided the licensee may decrease such rate at any time. [Also
544 as] As a condition of [licensure] maintaining a license pursuant to this
545 section, the authority shall prohibit [each] a licensee from declining to
546 provide service to [customers for the reason that the customers are] any
547 customer because such customer is located in economically distressed
548 [areas] area. The authority may establish additional reasonable
549 conditions for maintaining a license pursuant to this section to [assure]
550 ensure that all retail customers will continue to have access to electric
551 generation services.

552 (h) For any licensee that is a colocated electric supplier, the authority
553 may, in the authority's discretion, waive any of the requirements of
554 subsection (g) of this section.

555 [(h)] (i) The authority shall maintain regular communications with
556 the regional independent system operator to effectuate the provisions of
557 this section and to ensure that an adequate, safe and reliable supply of
558 electricity is available.

559 [(i)] (j) Each licensee shall, at such times as the authority requires, but
560 not less than annually, submit to the Public Utilities Regulatory
561 Authority, [on] in a form and manner prescribed by the authority, [an
562 update of] updated information the authority deems relevant for a
563 licensee to maintain a license pursuant to this section. Each licensee shall
564 notify the authority [at least] not less than ten days before: (1) A change
565 in corporate structure that affects the licensee; (2) a change in the scope
566 of service, as provided in the licensee's scope of service plan submitted
567 to the authority as part of the application process; and (3) any other
568 change the authority deems relevant.

569 [(j)] (k) No license may be transferred, and no customer may be
570 assigned or transferred, without the prior approval of the authority.
571 [Notice of] An electric supplier or a colocated electric supplier shall
572 provide notice of any such assignment or transfer [shall be provided to
573 the Public Utilities Regulatory Authority at least] to the authority not
574 less than thirty days [prior to] before the effective date of the assignment

575 or transfer of a customer from one electric supplier to another electric
576 supplier or from one colocated electric supplier to another colocated
577 electric supplier. The authority may, upon its review of such notice,
578 approve, require [certain] specific conditions or deny the assignment or
579 transfer of such customer. [Customer] The authority shall approve,
580 modify with conditions or deny the assignment or transfer [shall be
581 approved, modified or denied by the authority within] not more than
582 thirty business days [of] after the authority's receipt of such notice from
583 the electric supplier or colocated electric supplier, unless the authority
584 and electric supplier or colocated electric supplier agree to a specified
585 extension of time, or such assignment or transfer is otherwise deemed
586 approved. The authority may [assess] impose additional licensing fees
587 to pay the administrative costs of reviewing a request for such transfer.

588 [(k)] (l) Any licensee who fails to comply with a license condition or
589 who violates any provision of this section, except for the renewable
590 portfolio standards contained in subsection (g) of this section, shall be
591 subject to civil penalties by the Public Utilities Regulatory Authority in
592 accordance with section 16-41, including direction that a portion of the
593 civil penalty be paid to a nonprofit agency engaged in energy assistance
594 programs named by the authority in its decision or notice of violation,
595 the suspension or revocation of such license and a prohibition on
596 accepting new customers following a hearing that is conducted as a
597 contested case in accordance with chapter 54. Notwithstanding the
598 provisions of subsection (b) of section 16-244c regarding an alternative
599 transitional standard offer option or an alternative standard service
600 option, the authority shall require a payment by a licensee that fails to
601 comply with the renewable portfolio standards in accordance with
602 subdivision (4) of subsection (g) of this section in the amount of: (1) For
603 calendar years up to and including calendar year 2017, five and one-half
604 cents per kilowatt hour, (2) for calendar years commencing on January
605 1, 2018, and up to and including the calendar year commencing on
606 January 1, 2020, five and one-half cents per kilowatt hour if the licensee
607 fails to comply with the renewable portfolio standards during the
608 subject annual period for Class I renewable energy sources, and two and
609 one-half cents per kilowatt hour if the licensee fails to comply with the

610 renewable portfolio standards during the subject annual period for
611 Class II renewable energy sources, and (3) for calendar years
612 commencing on and after January 1, 2021, four cents per kilowatt hour
613 if the licensee fails to comply with the renewable portfolio standards
614 during the subject annual period for Class I renewable energy sources,
615 and two and one-half cents per kilowatt hour if the licensee fails to
616 comply with the renewable portfolio standards during the subject
617 annual period for Class II renewable energy sources. On or before
618 December 31, 2013, the authority shall issue a decision, following an
619 uncontested proceeding, on whether any licensee has failed to comply
620 with the renewable portfolio standards for calendar years up to and
621 including 2012, for which a decision has not already been issued. On
622 and after June 5, 2013, the Public Utilities Regulatory Authority shall
623 annually conduct an uncontested proceeding in order to determine
624 whether any licensee has failed to comply with the renewable portfolio
625 standards during the preceding year. Not later than December 31, 2014,
626 and annually thereafter, the authority shall, following such proceeding,
627 issue a decision as to whether the licensee has failed to comply with the
628 renewable portfolio standards during the preceding year. The authority
629 shall allocate such payment to the Clean Energy Fund for the
630 development of Class I renewable energy sources, provided, on and
631 after June 5, 2013, any such payment shall be refunded to ratepayers by
632 using such payment to offset the costs to all customers of electric
633 distribution companies of the costs of contracts and tariffs entered into
634 pursuant to sections 16-244r, 16-244t and section 16-244z, except that, on
635 and after January 1, 2023, any such payment that is attributable to a
636 failure to comply with the Class II renewable portfolio standards shall
637 be deposited in the sustainable materials management account
638 established pursuant to section 16-244bb. Any excess amount remaining
639 from such payment shall be applied to reduce the costs of contracts
640 entered into pursuant to subdivision (2) of subsection (j) of section 16-
641 244c, and if any excess amount remains, such amount shall be applied
642 to reduce costs collected through nonbypassable, federally mandated
643 congestion charges, as defined in section 16-1, as amended by this act.
644 For any licensee that is a colocated electric supplier, the authority may,

645 in the authority's discretion, waive or modify any of the requirements
646 of this subsection.

647 [(l) (1) An] (m) (1) No electric aggregator shall [not] be subject to the
648 provisions of subsections (a) to [(k)] (l), inclusive, of this section.

649 (2) No electric aggregator shall negotiate a contract for the purchase
650 of electric generation services from an electric supplier unless such
651 aggregator has (A) obtained a certificate of registration from the Public
652 Utilities Regulatory Authority in accordance with this subsection, or (B)
653 in the case of a municipality, regional water authority and the MIRA
654 Dissolution Authority, registered in accordance with section 16-245b.
655 An electric aggregator that was licensed pursuant to this section prior to
656 July 1, 2003, shall receive a certificate of registration on July 1, 2003.

657 (3) An electric aggregator shall file an application for a certificate of
658 registration [shall be filed] with the authority, accompanied by a fee as
659 determined by the authority. The application shall contain such
660 information as the authority [may deem] deems relevant, including, but
661 not limited to: [, the following:] (A) The address of the applicant's
662 headquarters and the articles of incorporation or certificate of
663 organization, if applicable, as filed with the state in which the applicant
664 is incorporated or organized; (B) the address of the applicant's principal
665 office in the state, if any, or the address of the applicant's agent for
666 service in the state; (C) the toll-free or in-state telephone number of the
667 applicant; (D) information about the applicant's corporate structure, if
668 applicable, including financial names and financial statements, as
669 relevant, concerning corporate affiliates; and (E) disclosure of whether
670 the applicant or any of the applicant's corporate affiliates or officers, if
671 applicable, have been or are currently under investigation for violation
672 of any consumer protection law or regulation to which it is subject,
673 either in this state or in another state. Each registered electric aggregator
674 shall [update] provide updates of the information contained in this
675 subdivision to the authority as necessary.

676 (4) Not more than thirty days after receiving an application for a
677 certificate of registration, the authority shall notify the applicant

678 whether the application is complete or whether the applicant must
679 submit additional information. The authority shall grant or deny the
680 application for a certificate of registration not more than ninety days
681 after receiving all information required of an applicant. The authority
682 shall hold a public hearing on an application upon the request of any
683 interested party.

684 (5) As a condition for maintaining a certificate of registration, the
685 registered electric aggregator shall ensure that, where applicable, [it]
686 such aggregator complies with the National Labor Relations Act and
687 regulations, if applicable, and [it complies] with the Connecticut Unfair
688 Trade Practices Act and applicable regulations.

689 (6) Any registered electric aggregator that fails to comply with a
690 registration condition or violates any provision of this section shall be
691 subject to civil penalties by the Public Utilities Regulatory Authority in
692 accordance with the procedures contained in section 16-41, or the
693 suspension or revocation of such registration, or a prohibition on
694 accepting new customers following a hearing that is conducted as a
695 contested case in accordance with the provisions of chapter 54.

696 (n) In addition to the requirements of subsections (c) to (l), inclusive,
697 of this section, unless any requirement contained in said subsections has
698 been waived by the authority as provided in said subsections, to be
699 eligible to receive and maintain a license under this section, a colocated
700 electric supplier shall file an application for such license with the
701 authority that conforms with the requirements of this subsection. To
702 receive and maintain a license under this section, the authority shall
703 require that a colocated electric supplier shall:

704 (1) Supply not less than one hundred per cent of the anticipated
705 electric load of the large load electric customer served by such supplier,
706 plus an additional amount to cover a specified reserve margin as
707 determined by the authority, from a generation source that enters
708 service on or after July 1, 2026, or from an incremental increase to an
709 existing generation resource's nameplate capacity determined by the
710 authority to be adequate to meet the requirements of this section.

711 Notwithstanding the provisions of this subdivision, the authority may
712 waive the requirement that a colocated electric supplier supply the
713 entire anticipated electric load of such customer, or for a reserve margin,
714 if the authority deems that such waiver is (A) in the best interest of all
715 ratepayers in the state, (B) consistent with the integrated resources plan
716 developed pursuant to section 16a-3a, if applicable, and (C) consistent
717 with the comprehensive energy strategy developed pursuant to section
718 16a-3d, if applicable;

719 (2) File an annual report with the authority that describes the
720 generation and load characteristics of the colocated electric supplier and
721 large electric load customer to demonstrate to the authority that the
722 colocated electric supplier remains in compliance with the provisions of
723 subdivision (1) of this subsection; and

724 (3) Comply with the provisions of section 16-245a that apply to an
725 electric supplier, provided, for any generation source used by a
726 colocated electric supplier that enters service on or after December 31,
727 2030, the authority may require that the colocated electric supplier retire
728 a greater number of certificates issued by the New England Power Pool
729 Generation Information System than is otherwise required by section
730 16-245a if the authority finds that the integrated resources plan adopted
731 pursuant to section 16a-3a supports such a requirement.

732 (o) Any person, municipality or regional water authority may seek a
733 declaratory ruling from the authority to determine whether any existing
734 project or any project planned or proposed by such person, municipality
735 or authority will be deemed a colocated electric supplier pursuant to this
736 section. The authority may, on its own motion, open a proceeding to
737 investigate any person supplying electricity to any large electric load
738 customer or any potential large electric load customer to determine
739 whether the person supplying such electricity to such customer is acting
740 as a colocated electric supplier without a license issued pursuant to this
741 section.

742 (p) (1) Not later than April 1, 2027, each electric distribution company
743 and municipal utility shall file with the authority a proposal for a tariff

744 concerning the provision of electricity to large load electric customers
745 that interconnect to the distribution or transmission system in the state
746 after October 1, 2026. Except for any large electric load customer served
747 by a colocated electric supplier, such tariff shall, at a minimum, require
748 any such customer to contract with or otherwise provide for a
749 generation source that supplies not less than one hundred per cent of
750 the anticipated electric load of such customer, plus an additional
751 amount to cover a specified reserve margin as determined by the
752 authority, from a generation source that enters service on or after July 1,
753 2026, and that has not previously cleared a capacity market auction of
754 the regional independent system operator. The tariff shall account for
755 any potential transmission or distribution impacts of any large electric
756 load customer on all other ratepayers in the state, including any large
757 electric load customers served by a colocated electric supplier.

758 (2) (A) Upon the filing of a tariff proposal by an electric distribution
759 company or municipal utility pursuant to this subsection, the authority
760 shall initiate a proceeding to review and seek public comment on any
761 such proposal. In determining whether to approve or modify any such
762 proposal, the authority shall consider whether the proposed tariff
763 reasonably protects ratepayers who are not large electric load customers
764 against increased retail rates due to new or increased transmission,
765 distribution, capacity, energy or other costs resulting solely or primarily
766 from serving large electric load customers.

767 (B) In carrying out the provisions of this section, the authority shall
768 require each electric distribution company or municipal utility to: (i)
769 Ensure that any new large electric load customer provides adequate
770 financial guarantees that such customer shall pay for not less than
771 eighty-five per cent of the electric service requested by such customer
772 for a period of not less than ten years after electric service commences
773 for such customer; (ii) require any new large electric load customer to
774 demonstrate, to the reasonable satisfaction of the authority, that the
775 project proposed by such customer is unique and not duplicative of any
776 other large electric load customer project, whether located in the state or
777 elsewhere, and to identify the project's interdependencies; (iii) in

778 addition to any other security required by the authority, provide for the
779 posting of deposits or financial security, in a form approved by the
780 authority, sufficient to protect ratepayers against a material increase in
781 rates should the large electric load customer project cease operations or
782 require less electric service than anticipated over the ten-year period
783 beginning when service commences; and (iv) implement any other
784 provisions that the authority deems necessary to protect ratepayers in
785 the state.

786 (C) Notwithstanding the provisions of subdivision (1) of this
787 subsection, the authority may waive the requirement that a large electric
788 load customer not served by a colocated electric supplier be served by a
789 generation source that enters service on or after July 1, 2026, and that
790 has not previously cleared a capacity market auction of the regional
791 independent system operator, if the customer demonstrates to the
792 authority the customer has sufficient electric demand flexibility to
793 eliminate the need for such generation. The authority shall have the
794 discretion to determine what constitutes an appropriate level of electric
795 demand flexibility. In exercising its discretion under this subparagraph,
796 the authority shall consider how the regional independent system
797 operator treats electric demand or operational flexibility in transmission
798 and resource adequacy planning.

799 (q) Not later than January 1, 2027, the authority shall initiate a
800 proceeding to implement the requirements of subsections (n) to (p),
801 inclusive, of this section.

802 (r) Nothing in this section shall be construed to limit the authority of
803 the Connecticut Siting Council to act with respect to the siting of any
804 facility.

805 Sec. 3. Subsection (a) of section 16-245w of the general statutes is
806 repealed and the following is substituted in lieu thereof (*Effective July 1,*
807 *2026*):

808 (a) As used in this section, "self-generation facility" means a facility
809 that (1) generates electricity, (2) is owned or operated by an entity other

810 than an electric distribution company, [as defined in section 16-1, or] an
811 electric supplier, or a colocated electric supplier, as those terms are
812 defined in [said] section 16-1, as amended by this act, and (3) operates
813 in parallel with other generation on the distribution system of an electric
814 distribution company and which reduces or eliminates the purchase of
815 electricity through the distribution network.

This act shall take effect as follows and shall amend the following sections:		
Section 1	<i>July 1, 2026</i>	16-1(a)
Sec. 2	<i>July 1, 2026</i>	16-245
Sec. 3	<i>July 1, 2026</i>	16-245w(a)

ET *Joint Favorable*

The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.

OFA Fiscal Note

State Impact: None

Municipal Impact: None

Explanation

The bill requires the Public Utilities Regulatory Authority (PURA), by January 1, 2027, to open a proceeding on co-located supplier licenses and tariffs for grid-connected large load electric customers. This is not expected to result in a fiscal impact as PURA has the staff and expertise necessary to do so. The bill makes other changes to electric distribution companies and co-located electric suppliers, which has no fiscal impact on the state.

Rate Payer Impact

The bill subjects co-located suppliers to the same licensing procedures and provisions as retail electric suppliers and establishes new tariffs for grid-connected large load electric customers that interconnect to the state's distribution or transmission system after October 1, 2026 (grid-connected large load customers). The changes implemented within the bill ensure that existing utility customers do not pay the total costs related to interconnecting new large electric load customers, which could result in savings to rate payers.

Additionally, by controlling load growth rate payers are less likely to incur additional costs. The net impact, which is anticipated to yield lower costs to rate payers, is indeterminate and would be dependent upon various decisions that are outside the immediate scope of the bill.

The Out Years

State Impact: None

Municipal Impact: None

OLR Bill Analysis**HB 5469*****AN ACT CONCERNING COLOCATED ELECTRIC SUPPLIERS AND
LARGE ELECTRIC LOAD CUSTOMERS.*****SUMMARY**

This bill generally establishes a framework for regulating the electric supply of certain large electric load customers (for example, large data centers). Primarily, the bill (1) sets licensure requirements for co-located electric suppliers who provide electricity to large load customers and (2) requires the electric distribution companies (EDCs; Eversource and United Illuminating) to create new tariffs (rate schedules and related requirements) for providing electricity to other large electric load customers that interconnect to the state's distribution or transmission system after October 1, 2026 (grid-connected large load customers).

Under the bill, a "large electric load customer" is any electric customer whose peak demand is at least 50 megawatts. A "co-located electric supplier" is any person (including entities) that provides, or plans to provide, electric generation services to a large electric load customer (1) through a physical connection behind the customer's point of interconnection with the electric distribution or transmission system (for example, behind-the-meter on-site generation) or (2) if both the supplier and the customer have no connection to the electric distribution or transmission system (generation that connects only with the customer and not the grid).

The bill generally subjects co-located suppliers to the same licensing procedures and provisions as retail electric suppliers, including provisions that require licensees to annually submit certain information to the Public Utilities Regulatory Authority (PURA) and prohibit transferring a license without PURA's approval. However, the bill also allows PURA to waive certain provisions. It also sets certain licensing

criteria specific to co-located suppliers, such as a requirement for them to supply all of their large electric load customer's anticipated electric load, plus an additional amount to cover a specified reserve margin, with energy from new generation (that entered service after July 1, 2026), subject to certain exceptions.

Through the new tariffs for grid-connected large electric load customers, the bill generally requires, among other things:

1. the customer to contract with new generation for all of the customer's anticipated electric load, plus an additional amount to cover a specified reserve margin;
2. PURA to consider, when deciding whether to approve the tariff, whether it reasonably protects other ratepayers against increased retail rates due to new or increased transmission, distribution, capacity, energy, or other costs; and
3. the EDCs to ensure that a new large electric load customer has adequate financial guarantees to pay for at least 85% of its requested electric service for at least 10 years.

The bill requires PURA, by January 1, 2027, to open a proceeding to implement the bill's provisions on co-located supplier licenses and tariffs for grid-connected large electric load customers. It also makes numerous minor, technical, and conforming changes.

EFFECTIVE DATE: July 1, 2026

CO-LOCATED ELECTRIC SUPPLIERS

The bill requires any person, municipality, or regional water authority that wants to sell, attempt to sell, or otherwise provide electric generation services to a large electric load customer in a co-located or behind-the-meter arrangement to first obtain a co-located electric supplier license from PURA.

Licensing Provisions Specific to Co-Located Suppliers

The bill generally requires a co-located electric supplier licensee to

meet the same licensing process and requirements as a licensed retail electric supplier, although it also allows PURA to waive or modify many of them (see below). However, it also adds additional requirements specific to co-located electric supplier licenses.

More specifically, to qualify for a license a co-located electric supplier must file an application with PURA. The bill sets licensure requirements on new generation, annual reporting, and renewable portfolio standard (RFS) compliance, as described below.

Supply From New Generation. The co-located supplier must supply at least 100% of its large electric load customer's anticipated electric load, plus an additional amount to cover a specified reserve margin determined by PURA, from a generation source that enters service on or after July 1, 2026, or from an incremental increase to an existing generation resource's nameplate capacity that PURA determines to be adequate. However, PURA may waive this requirement if it is (1) in the best interest of all ratepayers in the state; (2) consistent with the state's Integrated Resources Plan (IRP), if applicable; and (3) consistent with the state's Comprehensive Energy Strategy, if applicable.

Annual Report. The co-located supplier must file an annual report with PURA that describes the generation and load characteristics of the co-located supplier and large electric load customer to show PURA that the co-located supplier complies with the supply requirements described above.

Renewable Portfolio Standard. The co-located supplier must comply with the state's RFS requirements for retail electric suppliers. However, for any generation source used by a co-located supplier that enters service on or after December 31, 2030, PURA may require the co-located supplier to retire a greater number of regional renewable energy certificates than the RPS requires if PURA finds that the IRP supports such a requirement.

Generally, the RPS law requires EDCs and retail suppliers to procure an increasing portion of their power from certain renewable and other

clean energy resources.

Applicable Retail Supplier Licensing Provisions

As mentioned above, the bill also generally requires a co-located electric supplier to meet the same licensing process and requirements as a licensed retail electric supplier. Among other things, these provisions generally:

1. allow PURA to condition a license on proof that the applicant's products are not overpriced or harmful to residential customers;
2. require a license applicant to show that it has the technical, managerial, and financial capability to provide electric generation services and maintain a bond or other security to ensure its financial responsibility;
3. specify the license application and approval process;
4. require a licensed supplier to notify PURA at least 10 days in advance of a change in its corporate structure or scope of service;
5. require PURA's approval before a license or customer may be assigned or transferred; and
6. allow PURA to issue civil penalties for noncompliance with the supplier licensing laws.

Retail Supplier Requirements That PURA May Waive for Co-Located Suppliers

The bill allows PURA, in its discretion, to waive or modify for a co-located electric supplier certain provisions that currently apply to licensed retail electric suppliers. Among other things, these provisions generally require licensed suppliers to:

1. comply with the National Labor Relations Act, if applicable, and the Connecticut Unfair Trade Practices Act;
2. have their generating facilities comply with state laws on siting electric generation facilities and emissions;

3. comply with the state's RPS law;
4. join the New England Power Pool and comply with the regional independent system operator's (ISO-NE) rules and guidelines;
5. agree to cooperate with PURA if there is an emergency condition that may jeopardize the safety and reliability of electric service;
6. comply with the code of conduct for EDCs;
7. comply with the Federal Energy Regulatory Commission's applicable licensing requirements;
8. offer a time-of-use price option to customers; and
9. acknowledge that it is subject to certain state taxes and pay all state taxes it is subject to.

The bill also allows PURA, in its discretion, to waive or modify for a co-located electric supplier current provisions that generally (1) subject licensed suppliers to PURA-imposed civil penalties for failing to comply with their licensing conditions or violating the supplier licensing law and (2) require certain payments by and procedures for suppliers who fail to meet certain RPS requirements.

Declaratory Rulings

The bill allows any person, municipality, or regional water authority to seek a declaratory ruling from PURA to determine whether any existing project or any project they planned or proposed will be deemed a co-located electric supplier. The bill also allows PURA, on its own motion, to open a proceeding to investigate any person supplying electricity to a large electric load customer or a potential large electric load customer to determine whether the person is acting as an unlicensed co-located electric supplier.

GRID-CONNECTED LARGE ELECTRIC LOAD CUSTOMERS

The bill requires each EDC and municipal utility, by April 1, 2027, to file with PURA a proposal for a tariff on providing electricity to large

electric load customers that interconnect to the distribution or transmission system in the state after October 1, 2026. (The bill does not define “municipal utility,” but presumably, this would only include municipal electric companies.)

Except for large electric load customers served by a co-located electric supplier, the tariff must at least require the large load customer to contract with or otherwise provide for a generation source that supplies at least 100% of the customer’s anticipated electric load, plus an additional amount to cover a specified reserve margin determined by PURA, from a generation source that enters service on or after July 1, 2026, and that has not previously cleared an ISO-NE capacity market auction. The tariff must also account for any potential transmission or distribution impacts of any large electric load customer on all other ratepayers in the state, including any large electric load customers served by a co-located electric supplier.

Once an EDC or municipal utility files the tariff, the bill requires PURA to open a proceeding to review and seek public comment on the proposal. In determining whether to approve or modify the proposal, PURA must consider whether it reasonably protects ratepayers who are not large electric load customers against increased retail rates due to new or increased transmission, distribution, capacity, energy, or other costs resulting solely or primarily from serving large electric load customers.

The bill requires PURA, in carrying out the bill’s provisions, to require each EDC or municipal utility to:

1. ensure that any new large electric load customer has adequate financial guarantees that it will pay for at least 85% of the electric service it requests for at least 10 years after its electric service begins;
2. require any new large electric load customer to (a) show, to PURA’s reasonable satisfaction, that its proposed project is unique and not duplicative of any other large electric load

- customer project, whether located in the state or elsewhere, and
- (b) identify the project's interdependencies;
3. provide for the posting of deposits or financial security, in a PURA-approved form (and in addition to any other PURA-required security), sufficient to protect ratepayers against a material rate increase if the large electric load customer project ceases operations or requires less electric service than anticipated over the 10-year period after service begins; and
 4. implement any other provisions that PURA deems necessary to protect ratepayers in the state.

The bill allows PURA, regardless of the bill's tariff provisions, to waive the new generation requirement for a large electric load customer that does not have a co-located electric supplier (the requirement to be served by a generation source that enters service on or after July 1, 2026, and that has not previously cleared an ISO-NE capacity market auction). To do so, the customer must show PURA that it has sufficient electric demand flexibility to eliminate the need for the generation. The bill gives PURA discretion to determine what constitutes an appropriate level of electric demand flexibility. But in exercising this discretion, PURA must consider how ISO-NE treats electric demand or operational flexibility in transmission and resource adequacy planning.

OTHER PROVISIONS

The bill specifies that it does not limit the Connecticut Siting Council's authority to act on siting any facility. It also specifies that a co-located electric supplier is not a "self-generation facility." Generally, the law requires customers who have installed self-generation facilities to pay a PURA-determined fee to offset any revenue loss or potential loss to the competitive transition assessment, the systems benefits charge, the conservation adjustment mechanisms, and the Clean Energy Fund assessment charged on ratepayers' electric bills.

COMMITTEE ACTION

Energy and Technology Committee

Joint Favorable

Yea 26 Nay 0 (03/19/2026)